

DEED OF CESSION

Made and entered into between:

BRAVO RESOURCES Registration No: **2011/011877/23**, herein represented by **MISS. SANGA SKENJANA** in his capacity as **GENERAL MANAGER**, being duly authorized and warranting his authority, hereinafter referred to as ("the Cedent"),

and

MATHOBELA GROUP Registration No: **2019/627310/07** herein represented by **MR. AYABULELA DONDOLO** in his capacity as **DIRECTOR** being duly authorized and warranting his authority thereof hereinafter referred to as "**the Cessionary**"

AS WITNESSED BY:

EASTERN CAPE DEPARTMENT OF HUMAN SETTLEMENTS (ECDOHS) herein represented by **MR. BONGUMISA PANDA** in his duly authorised capacity as **ACTING CHIEF DIRECTOR DISTRICT CO-ORDINATION AND PROJECT MANAGEMENT** (Hereinafter referred to as the Municipality)

B.S.

A.D. S.S.

PREAMBLE

WHEREAS the Eastern Cape Department of Human Settlements (ECDOHS) and **BRAVO RESOURCES**, entered into a written agreement (the Service Level Agreement) in terms of which the latter was appointed by the Department to provide professional services for pre-planning, planning & design, contract monitoring and construction of 350 houses in Mkhanzini 350 at Port St Johns Municipality

AND WHEREAS the Department and the Cedent entered into a written agreement ("the Principal Agreement" and / or the Sub-Consultant ") in terms of have a determined the advisability of the cession to transfer the cedent's right to receive payments parties have determined the advisability of the cession to transfer the cedent's right to receive payments from the Department to pay directly to **Mathobela Group**, for value created in the housing project.

AND WHEREAS Cedent, Cessionary and the Department are singularly and collectively willing and prepared to accept the said cession, and the Department guarantees payment as and when the Cessionary provides invoices to each claim in accordance with the building materials supplied to the project.

AND WHEREAS the Cedent and Cessionary hereby indemnifies the Department of Human Settlements should any dispute arise out of failure to honor this Cession Agreement.

NOW THEREFORE THE PARTIES AGREE AS FOLLOWS:

1. DEFINITIONS AND INTERPRETATIONS

- 1.1 In this Deed of Cession unless inconsistent with or otherwise indicated by the context, words and expressions defined in the Contract and not defined in this Deed of Cession shall bear the meanings assigned to them in the Contract.
 - 1.1.1 "**Effective Date**" means the date of last signature hereto;
 - 1.1.2 "**Service level agreement**" means the agreement for contract monitoring and construction of subsidy housing units in **ward 9**, under **Ports st Johns** Local Municipality entered into between the ECDOHS and **BRAVO RESOURCES**, attached herewith.
 - 1.1.3. "**Party/ies**" means the party/ies as described on the cover page of this Cession Agreement.
 - 1.1.4. "**ECDOHS**" means the Eastern Cape Provincial Department of Human Settlements.
 - 1.1.5. "**Cedent**" means **BRAVO RESOURCES**, who is the Consultan in terms of Service Level Agreement.

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- 1.1.6. **"Cessionary"** shall mean **MATHOBELA GROUP**, who is the provider of bridging finance for building and material in terms of this contract,

2. THE DEED OF CESSION

- 2.1 I, the undersigned, **MISS SANGA SKENJANA**, duly authorized to act on behalf of **BRAVO RESOURCES** (the cedent), in my capacity as the **DIRECTOR**, do hereby cede, transfer and make over to **MATHOBELA GROUP** (cessionary) the rights as mentioned hereunder;
- 2.1.1. All our rights, title and interest in all monies, debts and claims with respect to construction of subsidy housing units in **ward 9 of Port St Johns Local Municipality** up to the maximum Value of Cession stated hereunder, including all rights of action arising thereof for any finance or the material equivalent supplied by the Cessionary in terms of this cession.
- 2.2. The Department (now a debtor as a consequence of this cession) is hereby instructed to pay the creditors (cessionary) as per invoices/certificates for construction, building materials and components delivered on site by the cessionary and/or its agents within 30 days of authentic and invoiced value of work created in respect of the following contract:
- 2.2.1. **Contract Description:** Construction of **OR TAMBO - MKHANZINI (1200) 350** housing units in **ward 9**, under **Port St Johns Local Municipality**.
- 2.2.2. **Total Contract Value:** **R 2 870 000,00**
(Attach copy of contract)
- 2.2.3. **Value of Cession:** **R 817 320,00**
- 2.3 The Cedent, with effect from the effective date hereby cedes and transfers all its rights and claims up to a maximum amount indicated in 2.2.3 above to the Cessionary.
- 2.4 The Cessionary hereby, with effect from the effective date, accepts the cession and transfer of all rights and claims to receive payment directly from the Department up to a maximum indicated in 2.2.3 above.
- 2.5 All payments shall be made by electronic bank transfer to the credit of the Service Provider's bank account, the details of which are as stipulated in Table 1 below:

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Table 1.

BENEFICIARY	MATHOBELA GROUP
BANK NAME	STANDARD BANK OF SOUTH AFRICA
ACCOUNT NUMBER	10131081665
BRANCH	051001
REFERENCE	OR TAMBO – MKHANZINI (1200)350

N.B: All payment with respect to are to be paid into this account up to the maximum Value of Cession indicated in this document.

3. **GENERAL**

- 3.1 No amendment or consensual cancellation of this agreement or any delegation of obligations or assignment of rights and obligations in terms of this Deed of Cession will be of any force or effect unless in writing and signed by or on behalf of the parties concerned.
- 3.2 The signatures of both the cedent and cessionary shall appear on the face of every payment claim submitted to the Department by cedent, irrespective of whether the payment claim includes the claim for material or not until such a time when the Cessionary has been paid fully the total Value of Cession.
- 3.3 The Department shall be given a copy of this cession agreement as a notification of the cedent's intention to transfer right in title to cessionary and the cessionary's intention to accept transfer of such right up to the amounts agreed in clause 2.2.3. above.
- 3.4 Neither party may cede any of its rights in terms of this Deed of Cession and Assignment to any other person without the prior written consent of the other party, which consent will not unreasonably be withheld.
- 3.5 The cession shall not be used as security of whatever kind in any way whatsoever.
- 3.6 The Value of Cession to conduct inspection and construction monitoring undertaken by the cessionary in terms of this agreement shall not exceed the amount covered by the Lead Consultant's total value of the contract.
- 3.7 This cession shall terminate immediately upon full payment of the Cession Value indicated in 2.2.3 above.

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THUS SIGNED AT Mthatha ON THIS 6 DAY OF May 2024

WITNESSES:

1. [Signature]
2. [Signature]

[Signature]
MISS SANGA SKENJANA
GENERAL MANAGER
BRAVO RESOURCES

THUS SIGNED AT Mthatha ON THIS 6th DAY OF May 2024

WITNESSES:

1. [Signature]
2. [Signature]

[Signature]
MR. AYABULELA DONDOLO
DIRECTOR
MATHOBELA GROUP

ACKNOWLEDGED BY THE EASTERN CAPE DEPARTMENT OF HUMAN SETTLEMENT

For the ECDOHS;

As duly represented by **MR. BONGUMISA PANDA** in his duly authorized capacity as **ACTING CHIEF DIRECTOR DISTRICT CO-ORDINATION AND PROJECT MANAGEMENT**

Signature: [Signature]

Date: 23/05/2024

Witnesses:

1. SWAZA POSE (Full name) [Signature] (signature)

2. [Signature] Anathi Longa (Full name) [Signature] (Signature)

ANNEXURE A

APPOINTMENT LETTER



Province of the
EASTERN CAPE
HUMAN SETTLEMENTS

DEPARTMENT OF HUMAN SETTLEMENTS

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chiselhurst • East London • Eastern Cape • RSA
Office No: 047 531 0487 • Fax No: 047 531 0584 • Email: DlulaneC@ecdhs.gov.za

13 May 2024

**THE DIRECTOR
CONTRACTS MANAGEMENT
DEPARTMENT OF HUMAN SETTLEMENTS
EAST LONDON**

Dear Mrs. N. Maqula,

**REQUEST FOR CONTRACTS MANAGEMENT TO FACILITATE CESSION
AGREEMENT ENTERED BETWEEN BRAVO RESOURCES AND MATHOBELA
GROUP**

Herewith are the proposed cession entered between **BRAVO RESOURCES AND MATHOBELA GROUP** in respect of the following project;

- **Mkhanzini 350 Housing Units.**

You are therefore requested to facilitate acknowledgement of the cession agreement by the Head of Department.

Your urgent finalization of this matter will be appreciated.

Yours faithfully,

SIGNATURES

**MR C. DLULANE
ACTING REGIONAL DIRECTOR: OR TAMBO REGION**

DATE: 13 May 2024

Recommended / ~~Not Recommended~~

**B. PANDA
ACTING CHIEF DIRECTOR: DISTRICT CO-ORDINATION & PROJECT MANAGEMENT**

DATE: 20/05/2024



Province of the
EASTERN CAPE
HUMAN SETTLEMENTS

OFFICE OF THE HEAD OF DEPARTMENT

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chiselhurst • East London • Eastern Cape • RSA
Office No: 076 784 5033 • Fax No: 000 000 0000 • Email: Lauwrencevz@ecdhs.gov.za

Ref no.: Dlulane CDM, SP

Mr CDM. Dlulane
Director: Project Management Unit
Department of Human Settlements
Private Bag X13008
Cambridge
5206

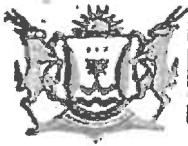
Dear Mr Dlulane

ACTING IN ANOTHER POST: YOURSELF

Our consultation with regards to your direction to perform other functions or to act in another post refers.

It is with great pleasure to inform you that the Member of the Executive Council has in terms of Section 32(2) of the Public Service Act 1994, as amended and Public Service Regulation 63 approved for you to act in the post of Director: O.R Tambo Region in Umtata with effect from 27 February 2024 to 26 August 2024.

- Please note that there will be no changes in your salary or conditions of service during the period.
- You will be reporting to the acting Chief Director: District Coordination and Project Management during the period and you must sign a performance agreement with him.
- All accommodation and traveling costs will be the responsibility of the relevant programme.



Province of the
EASTERN CAPE
HUMAN SETTLEMENTS

OFFICE OF THE CHIEF FINANCIAL OFFICER

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chislehurst • East London • Eastern Cape • RSA
Office No: 043 711 9517 • Fax No: 043 711 9796 • Email: nolundip@ecdhs.gov.za

G.C. HOUSING (PTY) LTD
P.O BOX 734
HILLCREST
3650

Dear Sir/Madam

**SCMU11-23/24-011: MKHANZINI 1200 (350) HOUSING PROJECT: APPOINTMENT OF A
CONTRACTOR FOR CONSTRUCTION OF 350 HOUSING UNITS AT MKHANZINI IN PORT ST
JOHNS LOCAL MUNICIPALITY – LETTER OF APPOINTMENT**

1. The Department hereby appoints your company, GC Housing (Pty) Ltd on the abovementioned project for an amount of sixty-seven million five hundred and thirteen thousand eight hundred- and fifty-two-rand (R67,513,852.00) VAT zero rated.
2. In terms of the offered bid price, the bid price will be fixed for the duration of the contract and no price-related variation orders will be allowed for this project. Should your company fail to perform in line with the Project Implementation Plan (PIP) as approved, and/or fails to reasonably motivate the non-performance such will be regarded as breach and the Department expressly reserves the right to terminate the agreement and damages will apply.
3. The duration of the project is a maximum period of thirty-six (36) months subject to submission of the following compliance documents, to our SCM Office.

3.1 Project Implementation Plan (PIP) signed by the Contractor and the Region;

3.2 HIV Aids policy;

3.3 Occupational Health and Safety Plan within fourteen (14) days of the commencement date. Failure to provide an acceptable Occupational Health and Safety Plan will result in the termination of the contract;

3.4 Priced Bill of Quantities and Payment Milestones;

3.5 Workman's Compensation certificate.

3.6 Work's insurance to the value of the project;

3.7 Works Guarantee or Retention – ten percent (10%) of the contract value; and

3.8 A letter of resolution authorizing the signatory to a Service Level Agreement and any other contractual forms.

4. Your company is required to sign SBD 7.2 Contract Form within five (5) days of receipt of this letter, after which a Service Level Agreement/Contract will be drawn.

5. Please be advised that a Service Level Agreement/Contract must be signed by both parties immediately after the submission of the compliance documents referred to in paragraph 3 above and failure to do so will lead to the withdrawal of the appointment.

6. It is important that you meet with the Department immediately to reach a common understanding on the deliverables mentioned above.

Yours faithfully



MR. E.D.Q. VENN
ACTING HEAD OF DEPARTMENT

20/12/23
DATE



Province of the
EASTERN CAPE

HUMAN SETTLEMENTS

HUMAN RESOURCE MANAGEMENT

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chiselhurst • East London • Eastern Cape • RSA
Office No: 043 711 9627 • Fax No: 000 000 0000 • Email: ZolaniN@ecdhs.gov.za

Ref no.: 3/4/12

Enquires: Mr Z. Ntozini

Mr B. PANDA

Department of Human Settlements

Private Bag X13008

Cambridge

5206

Dear Mr Panda

**APPOINTMENT AS ACTING CHIEF DIRECTOR: DISTRICT COORDINATION AND
PROJECT MANAGEMENT: YOURSELF**

It is with great pleasure to inform you that the Acting Head of Department has in terms of Section 32 of the Public Service Act as amended and the Acting Policy in the Public Service appointed you as an **Acting Chief Director: District Coordination and Project Management** with effect from **01 February 2024 to 31 July 2024** for the duration of the secondment of the incumbent of the post in question.

- Please note that there will be no changes in your salary and no acting allowance to be paid for the duration in terms of the Acting Policy, which stipulates that an acting allowance is only payable where the post is vacant and funded.
- As an Acting Chief Director, you have to enter into a performance agreement with the Acting Head of Department for the duration of your acting.

I take this opportunity to wish you all the best and success during your period of acting and trust that this presents an opportunity for your growth and development of your leadership and administrative skills.

Yours in Service

MR E.D.Q. VENN
ACTING HEAD OF DEPARTMENT
DEPARTMENT OF HUMAN SETTLEMENTS

DATE: 31/01/2024

ANNEXURE C

BOQ

R61 Road, Mdlankomo Location

Libode

5160

Email: ayabulela@mathobela.africa

Tel: +27 72 420 5469

Prepared For: Bravo Resources

Date 18/04/2024

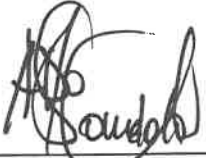
Attention: Ms Sanga Skenjana

MKHZANZINI 350 HOUSING PROJECT: MILESTONE RATE BREAKDOWN

Milestone	Activity	Unit	QTY	Rate	Amount
Monitoring and Certification	Inspection and construction monitoring of Foundation Stage	No	350	R817.25	R286 037.50
	Inspection and construction monitoring of Wall Plate Stage	No	350	R367.04	R128 464.00
	Inspection and construction of Completion Stage	No	350	R250.28	R87 598.00
	Inspection and construction monitoring of Services (Water Tank & VIP Toilet)	No	350	R233.52	R81 732.00
	Provide Completion Certificate and Certificate of Compliance for Electrical Works	No	350	R667.11	R233 488.50
	Sub-Total Per Unit			R2 335.20	R817 320.00
Total Contract Amount				R817 320.00	

Banking Details	
Bank Name	Standard Bank
Account Holder	Mathobela Group (Pty) Ltd
Account Number	10131081665
Branch Code	051001
Branch Name	Vincent Park

Prepare By: Ayabulela Dondolo



Ayabulela Dondolo

Director

Mathobela Group (Pty) Ltd

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ANNEXURE D

PROJECT IMPLEMENTATION PLAN

ID	Task Mode	Task Name	Duration	Start	Finish	P	esso	N	D	J	F	M	A	M	J	J	A	S	O	N	D
8		Contract administration, Inspection and Construction monitoring – Services (water tank and VIP toilet)	260 days	Fri 24/03/01	Thu 25/02/27																
9		Monitoring Implementation of Occupational Health and Safety Plan	260 days	Fri 24/03/01	Thu 25/02/27																
10		Monitoring Implementation of Environmental Management Plan	260 days	Fri 24/03/01	Thu 25/02/27																
11		Comprehensive training report (Including no. of trainings provided and no. of contractors trained)	1 day	Tue 25/10/21	Tue 25/10/21																
12		Completion certificates, Certificate of Compliance completion certificates and “Happy Letter” Final Unit Reports	65 days	Fri 25/08/01	Thu 25/10/30																
13		Provide necessary reports on project completion for project close – out and commissioning.	3 days	Tue 25/10/28	Thu 25/10/30	10															

Project: Mkhazini PIP CONSTR

Date: Tue 24/04/23

Task

Split

Milestone

Summary

Project Summary

Inactive Task

Inactive Milestone

Inactive Summary

Manual Task

Duration-only

Manual Summary Rollup

Manual Summary

Start-only

Finish-only

External Tasks

External Milestone

Deadline

Progress

Manual Progress

S. Skofa

06/05/2024

Tsh (CPM)

ANNEXURE E

BANK DETAILS CONFIRMATION



Standard Bank

Customer Care: 0860 123 000
Website: www.standardbank.co.za

STANDARD BANK

VINCENT PARK

10 Apr 2024

3721

Date: 10 April 2024

To Whom it May Concern

Confirmation of Standard Bank Account

This letter serves to confirm that the below customer holds a valid bank account with Standard Bank.

Account details:

Account holder: **MATHOBELA GROUP (PTY) LTD**

ID/Reg Number: **2019/627310/07**

Account type: **CURRENT**

Account number: **10 13 108 166 5**

Branch: **VINCENT PARK**

Branch code: **003721**

SWIFT code: **SBZAJJ**

Date account opened: **28 April 2020**

This letter is given without responsibility and does not give rise to any obligations or liability on the part of the bank and/or its officials.

Yours Sincerely

Standard Bank of South Africa

The Standard Bank of South Africa Limited (Reg. No. 1962/000738/06) Authorised financial services provider and registered credit provider (NCRCP15)

Directors: NMC Nyembezi (Chairman) L Fuzile* (Chief Executive) LL Bam PLH Cook A Daehnke* OA David-Borhe3 GJ Fraser-Moleketi Xueqing Guan2 GMB Kennealy LI LJ2 JH Marce NNA Matyumza NMC Nyembezi ML Oduor-Otieno3 ANA Peterside CON4 SK Tshabalala*

Company Secretary: K Froneman - 2024/03/13

*Executive Director 1British 2Chinese 3Kenyan 4Nigerian

The Standard Bank of South Africa Limited (Reg. No. 1962/000738/06) Authorised financial service provider. VAT Reg No. 4100105461 Registered credit provider (NCRCP15). We subscribe to the Code of Banking Association South Africa and, for unresolved disputes, support resolution through the Ombudsman for Banking Services

A.D 88